

interest, you should understand the benefit of not having to pay any interest over the course of four or more years.

Direct unsubsidized loans function the same way as direct subsidized loans, except that the interest is not subsidized, hence the name. Another difference between these two types of loans is that you do not need to demonstrate financial need in order to receive an unsubsidized loan; anyone is eligible. Direct federal loans are better than private loans for a variety of reasons:

1. Federal student loans are made by the government, with terms and conditions that are set by law, and include many benefits (such as fixed interest rates and income-driven repayment plans) not typically offered with private loans.
2. Federal loans are generally cheaper than private loans.
3. The government is usually willing to work with you on repayment plans or postponing payments should you have trouble paying back the loans. This is not guaranteed with a private lender.

Table 3.1 demonstrates borrowing limits for federal loans as of November 2020. These borrowing limits are subject to change, and if you are reading this many years after 2020, you should do a quick internet search to find your current rates.